

EQUITY RESEARCH · COMPANY DEEP DIVE

Caterpillar Inc. (CAT.US)

HOLD

Composite · Valuation: SELL
Blended Target: \$829.85
Implied upside: -16.8%

Industrials · Farm & Heavy Construction Machinery
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$997.47

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$829.85 (-16.8% vs \$997.47); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

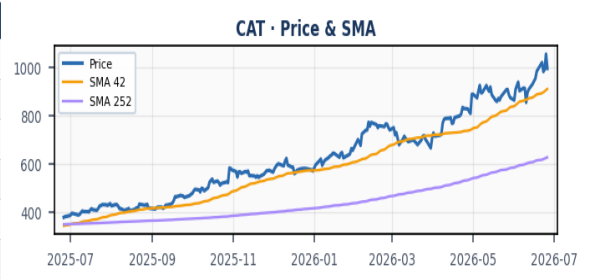
Composite: HOLD (score -0.07, confluence 75%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Caterpillar Inc. (CAT) — Industrials. Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric... **SELL** rating; blended target \$829.85. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$459.43B	Shares Out.	460.6M
52-Week Range	\$384.25 – \$1057.07	P/E (TTM)	49.7x
P/B	24.6x	Beta	1.60
Avg Volume	2.89M	Analyst Rec.	Buy
Revenue (TTM)	\$70.76B	Rev Growth	+22.2%
Op. Margin	18.2%	FCF (TTM)	\$7.45B



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	64,809	67,589	82,594	96,048	107,721
Revenue Growth (%)	N/A	4.3%	22.2%	16.3%	12.2%
Net Income (\$M)	10,792	8,884	10,856	12,625	14,159
Net Income Growth (%)	N/A	-17.7%	22.2%	16.3%	12.2%
Gross Margin (%)	36.0%	31.8%	28.6%	28.6%	28.6%
Net Margin (%)	16.7%	13.1%	13.1%	13.1%	13.1%
ROE (%)	55.4%	41.7%	50.9%	53.7%	57.4%
EPS (\$)	23.43	19.29	23.57	27.41	30.74
Book Value / Share (\$)	42.32	46.28	46.28	51.03	53.58
P/E (x)	42.57	51.71	42.32	36.39	32.45
P/B (x)	23.57	21.55	21.55	19.55	18.62
Dividend Yield (%)	65.0%	65.0%	65.0%	65.0%	65.0%

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.25). Strengths: Operating margin improving; Strong ROE 51.3%; FCF supports reported earnings. Risks: Elevated leverage (D/E 231%). 3Y projection: ~13.3% revenue growth; Y3 revenue \$102.88B.

Metric	Value	Assessment
FSA Health Score	+0.25	Strong
Revenue CAGR (3Y)	4.4%	
Net Income CAGR (3Y)	9.8%	
Gross Margin Trend	Improving	
Operating Margin Trend	Improving	
Current Ratio	1.44x	Liquidity
Debt / Equity	231%	Leverage
ROE	51.3%	Profitability
FCF / Net Income	0.84x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$80.16B / \$102.88B	@13.3%
Proj. Net Income (Y1 / Y3)	\$11.51B / \$14.78B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$911.88	Short-term trend	12m Momentum	+164.0%	
SMA (252d)	\$627.61	Long-term trend	3m Momentum	+43.7%	
RSI (14d)	61.4	Momentum oscillator	Ann. Volatility	31.1%	
Trend	Bullish		Sharpe Ratio	1.11	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.0%	
Death Cross (20d)	No		Rel. Strength vs SPY	+321.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$911.88, SMA252=\$627.61	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	36.6%	B&H; 54.8%

INDUSTRY CONTEXT

Industry Snapshot — Industrials / Farm & Heavy Construction Machinery. Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric locomotives in the United States and internationally. The Construction Industries segment offers asphalt pavers, cold planers, compactors, forestry machines, material...

Trends: Strong top-line growth (22.2% YoY); Healthy operating margins (18.2%); Above-market volatility (β=1.60)

Risks: Elevated leverage (D/E: 231%); Premium valuation (P/E: 49.7x)

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$279.60	-72.0%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$523.47	-47.5%	—	Peer median P/E 26.1x
Comps — P/E (peer median, forward EPS)	\$786.18	-21.2%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$812.93	-18.5%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — Blended (median of multiples + uplift anchors)	\$799.56	-19.8%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$951.02	-4.7%	20%	Included in blend
Blended target (weighted)	\$829.85	-16.8%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Incomplete data: sector peers (have 1, need ≥2); Thin peer set: keeping Comps-anchored weighted blend Data gaps: sector peers (have 1, need ≥2)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	12.82%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$7.45B
PV explicit (5Y)	\$38.73B
PV terminal	\$90.05B
Equity value (adj.)	\$128.78B
Implied price	\$279.60
vs. current	-72.0%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric locomotives in the United States and internationally. The Construction Industries segment offers asphalt pavers, cold planers,...

Key Trends

- Strong top-line growth (22.2% YoY)
- Healthy operating margins (18.2%)
- Above-market volatility (β=1.60)
- Sector: Industrials | Industry: Farm & Heavy Construction Machinery

Risk Factors

- Elevated leverage (D/E: 231%)
- Premium valuation (P/E: 49.7x)
- High market sensitivity in downturns

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
SPY	State Street SPDR S&P;	N/A	26.1x	N/A	N/A	N/A
CAT*	Caterpillar Inc.	\$459.43B	49.7x	34.3x	13.3%	+22.2%

* Subject company. Commands premium p/e vs peers. Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.